

Bank Reconciliation Analysis Project

(A Practical Bank Reconciliation and Financial Control Analysis Using Microsoft Excel)

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1. Introduction

Bank reconciliation is an important accounting process used to compare the balances recorded in an organization's accounting system with those shown in the bank statement. The objective is to identify discrepancies caused by timing differences, bookkeeping errors, omitted transactions, or bank-originated entries. Regular reconciliation improves the accuracy of financial records and strengthens internal financial controls.

2. Project Objectives

- Compare accounting records with the HDFC Bank statement.
- Identify differences between the books and the bank.
- Classify discrepancies based on their nature.
- Prepare adjusting journal entries where required.
- Prepare a Bank Reconciliation Statement (BRS).
- Build an Excel dashboard to summarize reconciliation results.
- Recommend internal control improvements.

3. Company Background

Arka Tea Traders Pvt Ltd is a fictional trading company created solely for academic purposes. All records are simulated for educational purposes, and no real financial data has been used. The project uses simulated accounting records maintained in Zoho Books and compares them with an HDFC Bank statement for the period January–March 2026 to demonstrate the complete bank reconciliation process.

4. Project Scope

This project covers:

- January 2026
- February 2026
- March 2026

Items analysed include:

- Customer receipts
- Vendor payments
- Utility payments
- Rent payments
- Bank charges
- Interest credits
- Outstanding cheques
- Deposits in transit

5. Methodology

The reconciliation was completed using the following process:

1. Extracted accounting records from the Zoho Books ledger.
2. Compared each transaction with the HDFC Bank statement.
3. Matched identical transactions.
4. Identified unmatched transactions.
5. Classified discrepancies into predefined categories.
6. Prepared adjusting journal entries.
7. Prepared the Bank Reconciliation Statement.
8. Designed an Excel dashboard summarizing the reconciliation results.
9. Prepared a professional finance memo summarizing the findings and recommendations.

6. Project Files

File	Description
Bank_Reconciliation_Project.xlsx	Complete Excel workbook
Journal_Entries.pdf	Adjusting journal entries
Memo.pdf	Findings and recommendations

7. Key Findings

The reconciliation identified the following issues:

- Opening balance discrepancy from the previous period.
- Duplicate utility expense posting.
- Omitted rent payment.
- Under-recorded vendor payment.
- Bank interest credits not recorded.
- Bank charges omitted from the books.
- Timing differences relating to uncleared cheques and deposits.

The analysis showed that most discrepancies resulted from operational errors rather than fraudulent activity.

8. Recommendations

The following actions are recommended:

- Perform monthly bank reconciliations within five business days after each month-end.
- Introduce maker-checker validation for vendor and utility postings.
- Configure automatic bank feeds wherever possible.
- Monitor uncleared cheques and deposits.
- Resolve opening balance discrepancies before the next accounting period.
- Maintain a checklist for bank-originated transactions.

9. Skills Demonstrated

Accounting Skills

- Bank Reconciliation
- Journal Entries
- Financial Accounting
- Internal Controls

Excel Skills

- Dashboard Creation
- Charts
- Lookup and Matching
- Data Analysis
- Financial Reporting

Business Skills

- Analytical Thinking
- Financial Documentation
- Professional Business Communication

10. Conclusion

This project demonstrates the complete bank reconciliation process using Microsoft Excel by comparing accounting records with a bank statement, identifying discrepancies, preparing adjusting journal entries, and recommending internal control improvements. It highlights the importance of timely reconciliation in maintaining accurate financial records and supporting effective cash management.

References

- Financial Accounting Principles
- HDFC Bank Statement (Simulated)
- Microsoft Excel Documentation
- Standard Bank Reconciliation Procedures
- Zoho Books Documentation